Banco Products (India) Ltd

Concall Tracker · Q2 2027 · first report

1. Snapshot

Maker of engine cooling modules (radiators, charge air coolers, oil and fuel coolers, AC condensers) and gaskets for automotive, farm, construction, industrial and power generation equipment, sold to domestic and global OEMs and the aftermarket. Most group sales come from subsidiaries, including NRF France; a subsidiary, Banco New Energy Cooling Systems, makes locomotive heat exchangers at Anki, Gujarat. Promoted by Mehul K. Patel.

Number	Value	What it means
Market cap	Rs 9,601 cr	What the market values the whole company at (Screener).
FY26 revenue (consolidated)	Rs 3,896 cr	Sales for the year, up 21%; five-year sales growth about 21% a year.
Q2 FY27 revenue	Rs 1,265 cr	July to September 2026 sales, up 22% on last year; the sixth straight quarter of 16-26% growth.
Q2 FY27 operating margin	21%	Up from 14% a year ago; operating profit Rs 263 cr vs Rs 149 cr.
Q2 FY27 profit after tax	Rs 165 cr	Up about a fifth on last year's Rs 139 cr.
Valuation and returns	P/E about 19x, dividend yield 3.4%, ROE about 30%	A high-return, high-dividend business at a moderate price.

2. Concall coverage

No concall transcripts were available on Screener. This report is based on a global web deep-dive.

Sources used:

- Screener.in consolidated and standalone pages for Banco Products (BANCOINDIA): quarterly and annual numbers to Sep 2026, business description
- FY2025-26 annual report Management Discussion & Analysis (via IndiaInfoline)
- Q2 FY27 results coverage (Multibagg, results approved 6 Nov 2026)
- FY26 results and NRF France fire coverage (Whalesbook, 28 May 2026)
- Q2 FY27 results aggregator pages (Stockgro, Investywise), used only to cross-check figures

Latest update highlights: Q2 FY27 results (approved 6 Nov 2026)

- Consolidated revenue Rs 1,265 cr, up 22%; operating profit Rs 263 cr, margin 21% vs 14% a year ago; profit Rs 165 cr, up from Rs 122 cr in Q1 and Rs 139 cr a year ago.
- H1 FY27 sales of about Rs 2,450 cr are up 22% on H1 FY26.
- The FY26 results carried a Rs 21.5 cr exceptional expense for a fire at a warehouse of subsidiary NRF France; the insurance claim was still pending at the time.
- No earnings call, no presentation found and no management guidance for FY27.
- FY26 dividend: Rs 8 per share final, after a Rs 7 interim.

Business mix & capacity

Domestic vs export: Standalone (India company) FY26: Rs 882 cr within India, Rs 344 cr outside India, so exports are about 28% of the Indian entity's sales. The overseas subsidiaries add much more, but a group-level split isn't published.

Capacity use: Not disclosed. The annual report mentions adding internal fabrication capacity, more in-house component making and low-cost automation, with no dates.

3. Earning Trigger thesis

The public record shows steady results but no specific earnings driver that management keeps pointing to. The annual report talks in general terms of selling newer cooling models and sealing gaskets to existing customers, winning new clients and being a one-stop shop. Group sales keep growing around a fifth a year and margins are up, but without calls or guidance there is no named trigger to track.

Trigger	What management said	Evidence so far	Time horizon	Strength
Cross-selling cooling and gaskets	Sell newer models and gaskets to existing customers; one-stop shop	Sales up 22% in Q2 FY27	Ongoing	Unproven: general aim, no target
Locomotive heat exchangers (BNCL)	New plant started October 2023	Not broken out	Ongoing	Unproven

3b. Trigger check

Trigger type	Yes/No	What was said (date)
Debt cut	No	Not stated.
New business	No	No new line announced in the period.
Margin up	No	Margin rose in the numbers (21% vs 14%), but the company gives no reason or claim.
New management	No	Only a new Company Secretary (May 2026).
New capacity	No	Only general mentions of in-house fabrication capacity, no dated project.
Big orders	No	Not disclosed.
Turnaround	No	Profitable throughout.
Promoter buying	No	Not stated.

The single concrete driver: No single named driver: steady growth in cooling modules and gaskets across OEM and aftermarket customers.

3c. Margin bridge

Operating margin is 21% now versus 14% a year ago, but the September 2025 quarter was a low point and FY26 overall was 18%. The company gives no explanation; metal prices (copper, aluminium) and currency are its stated swing factors (one-off until shown otherwise).

4. Management consistency scorecard

Period	What was promised	What actually happened	Verdict
FY26 annual report	Grow by selling newer cooling models and gaskets, win new clients	Sales up 21% in FY26 and 22% in H1 FY27	Delivered (no numeric target)
FY26 results	Recover the NRF France fire loss through insurance	Claim pending at last report	Too early

Narrative drift: There's nothing to drift from: no calls, no guidance, only general statements in the annual report. The results themselves have been steady for years.

5. Bottom line

Durable earning trigger? → NO

Results are strong and steady, but the public record names no specific, concrete driver; growth looks like the existing business compounding. That's fine for an owner, but it isn't an identifiable trigger.

Management consistent? → MAYBE

No promises to check. The track record of results is good, but with no calls or targets, consistency can't be judged.

6. Checkpoints for next quarter

- Sales keep growing on last year in the December quarter
- Operating margin stays near the September quarter's level
- NRF France fire insurance claim is settled

This is not investment advice. Do your own due diligence.